MAHATMA GANDHI UNIVERSITY, KOTTAYAM

FIRST SEMESTER MGU-UGP (HONOURS) REGULAR EXAMINATION NOVEMBER 2024

First Semester

Discipline Specific Core Course- MG1DSCECO100- ESSENTIALS OF ECONOMICS 1

(2024 ADMISSION ONWARDS)

Part A

Short Answer Type Questions. Answer 10 questions and each question carries 2 marks. Word limit is 30 words.

(N.B:- *All questions in Part A belong to either Remember (K) or Understand (U) level learning domains. In-depth interpretations not required*).

1. Law of supply- when other things being equal, if the price of a commodity increases, the quantity supplied of it will rise and if the price of a commodity decreases, the quantity supplied of it will fall. [Hint: give 2 marks for the correct statement of the law, give 1 mark if positive relation between price and quantity supplied is mentioned/ for the diagram].
2. Movement along the supply curve due to change in price factors affecting supply and shift of the supply curve due to change in non-price factors.[Hint: Give 2 marks for mentioning the distinction clearly, give 1 mark for the correct diagrams without explanation].
3. Perfectly inelastic supply: Elasticity value is zero, supply curve will be parallel to Y-axis.[Hint: Give 2 marks for the correct diagram with a brief statement, give 1 mark for the correct diagram alone].
4. Two features of a competitive market- large number of buyers and sellers, homogenous products, free entry and exit, perfect information, firms are price takers, no long term economic profits. [Hint: Give 2 marks for any two features, give 1 mark if atleast one feature is correctly written].
5. Market Equilibrium- intersection of demand and supply/point at which market demand equals market supply. [Hint: Give 2 marks for the statement with the diagram or for the correct diagram, give atleast 1 mark for the statement alone without the diagram].
6. Role of financial system in the economy- facilitates the efficient allocation of resources, promoting economic growth, and ensuring financial stability. **Value Liberally.** [Hint: Give due consideration for relevant and related statements, maximum marks can be awarded].
7. MRPT- Marginal Rate of Product Transformation , slope of PPC. **Value Liberally-*topic not directly mentioned in the syllabus*. [**Hint: Give maximum for the attempted answers].
8. Positive and normative analysis- Positive analysis deals with objective and fact-based statements and explains "what is". Normative analysis involves value judgments and

opinions. It focuses on "what ought to be" and prescribes policies. [Hint: Give 2 marks for any one correct distinction mentioned, give 1 mark for any correct description of either positive or normative].

9. Point method of measuring price elasticity of demand- elasticity measured at a point on the demand curve. Equation is Price elasticity of demand= Percentage change in quantity demanded/ Percentage change in price/ Price elasticity of demand= lower segment of the demand curve/ upper segment of the demand curve. [Hint: Give maximum marks for any of the equations written correctly, explanation not mandatory].
10. Law of demand- when other things being equal, if the price of a commodity increases, the quantity demanded of it will fall and vice-versa. [Hint: give 2 marks for the correct statement of the law, give 1 mark if negative relation between price and quantity demanded is mentioned/ for the diagram].
11. Laissezfaire- minimum government intervention and maximum individual freedom/let the individual be free. [Hint: Give maximum for all correct answers].
12. Impact of tax on sellers on supply and price of a good: A tax on sellers shifts the supply curve upward by the size of the tax and price of the good will increase. [Hint: Refer Chapter 6, pages 130-131, of the reference book '*Mankiw, N. G. (2023). Principles of economics. Cengage Learning'*. Give a maximum mark for any relevant answer. Explanation not needed. Give 1 mark for any attempt to answer.].
13. How elasticity of demand affects the share of the tax burden borne by the consumers- more inelastic the demand, more would be the share of the tax burden borne by the consumers. [Hint: Reference Chapter 6, pages 133-134, of the reference book '*Mankiw, N. G. (2023). Principles of economics. Cengage Learning'*. Give a maximum mark for any relevant answer. Explanation not needed. Give 1 mark for any attempt to answer].
14. Unfair competition- an argument for restricting international trade. It refers to practices of countries that disturbes fair trade by creating unjust advantages over another. [Hint: Give 2 marks for correctly relating the concept to international trade. Give 1 mark for just mentioning it as an argument for restricting trade].
15. Two determinants of global demand factors- income levels, taste and preferences, exchange rate, relative prices, foreign demand elasticity, etc. all these are factors. **Value liberally**- *Topic not directly mentioned in the syllabus*. [Hint: Give maximum marks for any attempted answer].

Part B

Short Essay Type Questions. Answer 10 Questions. Each Question Carries 5 Marks. Word limit is 150 words.

16. Four principles of Economics related to decision making- 1. People face tradeoffs, 2. The cost of something is what you give up to get it, 3. Rational people think at the margin, 4. People respond to incentives. [Hint: Give 5 marks for answers with all four principles and their explanations. Give minimum 2 marks for stating all four principles without explanations].
17. Importance of opportunity cost in decision making- related to the second Principle of Economics 'the cost of something is what you give up to get it'. Decision makers

should be aware of the opportunity costs that accompany each possible action. [Hint: Give 5 marks for identifying the Principle associated with the opportunity cost and also for correct explanation of the concept in relation to the Principle. Give minimum 2 marks for defining opportunity cost alone and without any remarks about the Principle].

18. Price elasticity of supply and its degrees- Definition, equation and stating different degrees with relevant diagrams required. [Hint: Give 5 marks for complete answers without any missing or incorrect answers. Give 3- marks for answers without diagrams. Give 2 marks for correct diagrams without any definition and equation].
19. Different methods of price elasticity of supply- only point and arc elasticity required. [Hint: Give 5 marks for explaining both methods with suitable equations and diagrams. Give 2 marks for stating different methods].
20. Market equilibrium and impact of change in supply without change in demand on market equilibrium- interaction of demand and supply with appropriate diagrams is required for defining market equilibrium. With no change in demand, an increase in supply, will cause price to fall and quantity increases, whereas with decrease in supply, price will rise and quantity decreases. [Hint: For the first section of the question, give a maximum of 3 marks for the correct answer. Second section carries 2 marks for explaining the impact of atleast one change with suitable diagrams].
21. More elastic and less elastic demand- diagrams- steeper demand curve for less elastic and flatter demand curve for more elastic. [Hint: Give full marks for correct diagrams with relevant explanations. Give a maximum of 4 marks for correct diagrams without any relevant descriptions].
22. Methods of measuring price elasticity of demand- only point and arc elasticity required. [Hint: Give 5 marks for explaining both methods with suitable equations and diagrams. Give 2 marks for stating different methods].
23. Point and arc method of price elasticity of demand- difference between the two methods should be clearly explained. [Hint: Give minimum 3 marks for any attempted relevant answer].
24. Two major goals of policymakers while evaluating market outcomes- equity and efficiency are the goals. **Value liberally.** [Hint: Give maximum marks for any related answer].
25. Relationship between supply elasticity and the deadweight loss due to taxation-When supply is relatively inelastic, the deadweight loss of a tax is small. When supply is relatively elastic, the deadweight loss of a tax is large. Diagram required. **Value liberally**. [Hint: Give maximum marks for attempted relevant answers. *Topic not directly mentioned in the syllabus*].
26. Economic and social implications of minimum wage laws and effect of price floors on unemployment particularly among unskilled workers- minimum wage can be explained as an example for analysing the effect of price floors on market outcomes. **Value liberally**. Given as a case study in the reference book '*Mankiw, N. G. (2023). Principles of economics. Cengage Learning'*, pages 126-127.[Hint: Give maximum marks for any question related answers].

27. Consumer surplus- elaborate the calculation of the consumer surplus with a relevant example. [Hint: Give minimum 2 marks for correct statement about consumer surplus. Give the maximum mark, if both sections of the question are answered completely].
28. Rationale behind the implementation of trade restrictions- jobs argument, national security argument, infant industry argument, unfair competition argument, protection-as- a-bargaining chip argument. [Hint: Give the maximum mark of stating all these with the minimum description, Give minimum 2 marks for any two correct arguments].
29. Reasons for safeguarding infant industries through trade restrictions- [Hint: Give maximum marks for any relevant answer with sufficient description].
30. Global demand factors in determining the world price- global economic conditions, income levels, taste and preferences, exchange rate , etc. all these are factors. **Value liberally**- *Topic not directly mentioned in the syllabus*. [Hint: Give maximum marks for any attempted answer].

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